

Company Accounts - Unit I

Joint Stock Companies, Issue & Forfeiture of Shares, Redemption of Preference Shares, Issue & Redemption of Debentures

Unit 1 | Notes with one solved question per topic | All amounts in Rs.

Roadmap (about 90 minutes)

Topic	Time	What we must walk away with
1. Types of companies & share capital	10 min	Classification of companies; authorised to paid-up capital
2. Issue of shares	25 min	Journal entries, oversubscription, pro-rata, calls in arrear/advance
3. Forfeiture & re-issue	15 min	Forfeiture entry, re-issue, capital reserve, balance sheet presentation
4. Redemption of preference shares	15 min	CRR, premium, minimum fresh issue
5. Issue of debentures	10 min	Discount, premium, collateral security, interest & TDS
6. Redemption of debentures	15 min	Six cases, DRR / DRRI, conversion

Start with these basics

- **Share** = ownership; shareholder gets dividend (only from profit). **Debenture** = loan; holder gets interest (even without profit).
- Debit what comes in / expenses / losses; credit what goes out / incomes / liabilities. Total Dr = Total Cr in every entry.
- **Face value (FV)** = nominal value. **Issue price** = FV + premium. Share Capital is always credited at **face value**.

1. Joint stock companies: types & share capital (Companies Act 2013)

Basis	Type [Section]	Key points
Liability	Limited by shares [2(22)] Limited by guarantee [2(21)] Unlimited [2(92)]	Liability limited to unpaid amount on shares / to the amount guaranteed in winding up / members liable without limit
Members	One Person Company [2(62)]	Member must be resident in India (stayed in India 120+ days in the preceding financial year). One person can form only 1 OPC and be nominee in 1 OPC at a time. No minor as member/nominee. Cannot convert into a Sec 8 company; cannot do NBFC activities
	Private company [2(68)]	Restricts right to transfer shares. Members 2 to 200 (employees excluded; joint holders count as 1). Min 2 directors
	Small company [2(85)]	Only a private company; paid-up capital up to Rs. 10 crore and turnover up to Rs. 100 crore (revised from Rs. 4 cr / Rs. 40 cr from 1 Dec 2025: write what your textbook says). Excludes holding/subsidiary companies, Sec 8 companies and Act-based bodies
	Public company [2(71)]	Members: min 7, no maximum. Min 3 directors. A subsidiary of a public company is deemed a public company
Control	Holding [2(46)] & Subsidiary [2(87)]	Holding company controls the composition of the Board or holds more than 1/2 of voting power
	Associate [2(6)]	Significant influence: 20% or more of voting power
Access to capital	Listed [2(52)] / Unlisted	Listed = securities traded on a recognised stock exchange
Other	Government company [2(45)]	51% or more paid-up capital held by Central/State Government or both
	Foreign company [2(42)]	Incorporated outside India with a place of business in India (physical or through an agent)
	Sec 8 company	Charitable objects; no distribution of profit to members
	Dormant company [455]	Inactive: future project or holding an asset; no significant accounting transaction
	Nidhi company [406(1)]	Mutual benefit society

Basis	Type [Section]	Key points
	Public Financial Institution [2(72)]	Constituted by an Act (e.g. LIC); or 51% or more owned by Government

Share capital terms

Term	Meaning
Authorised / Nominal / Registered	Maximum capital permitted by the Memorandum
Issued	Part of authorised capital offered to the public
Subscribed	Part of issued capital that the public applied for and was allotted
Called-up	Part of subscribed capital the company has demanded so far
Paid-up	Called-up amount actually received (called-up - calls in arrear)
Uncalled / Reserve capital	Not yet demanded / kept to be called only on winding up

• **Equity shares:** ownership, variable dividend, voting rights. **Preference shares:** fixed dividend first, priority in repayment on winding up, no normal voting.

Q1. Authorised: 1,00,000 shares of Rs. 10. Issued 80,000; subscribed 75,000. Rs. 8 per share called. Calls in arrear: Rs. 2 on 1,000 shares. Find paid-up capital.

Subscribed = 75,000 x 10	= 7,50,000
Called-up = 75,000 x 8	= 6,00,000
Calls in arrear = 1,000 x 2	= 2,000
Paid-up = 6,00,000 - 2,000	= 5,98,000

DON'T MAKE THESE MISTAKES

- Paid-up is not called-up: always subtract calls in arrear (add calls in advance).
- Subscribed capital depends on shares **applied and allotted**, not shares issued.

2. Issue of shares

- The investor gives **money**, the company gives **shares**. Money is usually collected in instalments, e.g. FV Rs. 10 = 3 (application) + 2 (allotment) + 3 (first call) + 2 (final call). **Issue price Rs. 12 = FV 10 + premium 2.**
- **Companies Act vs SEBI:** the Act says application money is 5% of face value, but **SEBI** requires **25% of issue price** (use this). **Minimum subscription 90%**; otherwise refund within 15 days.
- **Securities premium (Sec 52) can be used for:** bonus shares, buy-back, writing off preliminary expenses, writing off commission paid, premium on redemption of preference shares (see note in section 4).
- **Shares cannot be issued at a discount** (Sec 53). Debentures can be.

Basic journal entries

1. Bank A/c	Dr	
To Share Application A/c		(money received)
2. Share Application A/c	Dr	
To Share Capital A/c		(on shares allotted)
To Bank A/c		(refund, if oversubscribed)
To Share Allotment A/c		(excess adjusted)
To Calls A/c		(only if question says)
3. Share Allotment A/c	Dr	
To Share Capital A/c		
To Securities Premium A/c		(if due)
4. Bank A/c	Dr	
To Share Allotment A/c		(received)
5. First/Second/Final Call A/c	Dr	
To Share Capital A/c		(due)
6. Bank A/c	Dr	
To First/Second/Final Call A/c		(received)

Subscription and pro-rata allotment

Case	Example	Action
Under-subscribed	Issue 100K, applied 90K	Solve the question with 90K shares
Equal	Issue 100K, applied 100K	Normal case
Over-subscribed	Issue 100K, applied 120K	Reject excess, or pro-rata, or a combination

Pro-rata (proportionate): the company can allot only 100K shares but got applications for 120K, so it allots in the ratio:

$$\frac{120K}{100K} = \frac{6}{5} \text{ (for every 6 shares applied, 5 are allotted)}$$

Examples:

Mr X applied for 600 shares. Shares allotted = $600 \times \frac{5}{6} = 500$ shares

Mr Y was allotted 2,000 shares. Shares applied for = $2,000 \times \frac{6}{5} = 2,400$ shares

Calls in arrear & calls in advance

	Calls in Arrear (unpaid)	Calls in Advance (paid early)
Interest	10% p.a. (from the shareholder)	12% p.a. (to the shareholder)
Nature	Deducted from Share Capital	A liability (credited), debited on its relevant call

Calls in Arrear

(a) Call falls due, but some money is not paid:

Bank A/c	Dr	(amount received)
Calls in Arrear A/c	Dr	(amount unpaid)
To Share Allotment / Call A/c		(call due)

(b) When the arrears are paid later:

Bank A/c	Dr
To Calls in Arrear A/c	

Calls in Advance

(a) Money received before the call is due:

Bank A/c	Dr	
To Share Call A/c		(call due now)
To Calls in Advance A/c		(extra money received)

(b) When the later call falls due:

Calls in Advance A/c	Dr
To Relevant Call A/c	

Calls in arrear in oversubscription (important). Issue 1,00,000 shares of Rs. 10 (3, 2, 3, 2); applications for 1,20,000. Mr X applied for 240 shares, paid application money only and failed to pay allotment.

Working	Rs.
Shares allotted = $240 \times \frac{5}{6} = 200$	200 shares
Application money paid: 240×3	720
Application money needed for 200 shares: 200×3	(600)
Excess (adjusted against allotment)	120
Allotment due: $200 \times 2 = 400$; less excess 120	Calls in arrear = 280

Q2. X Ltd issues 10,000 shares of Rs. 10 at Rs. 12 (premium Rs. 2). Payable: application Rs. 3; allotment Rs. 5 (incl. premium Rs. 2); final call Rs. 4. Applications for 15,000 shares; 10,000 allotted; excess adjusted on allotment. Pass entries.

1. Bank A/c	Dr	45,000	(15,000 x 3)
To Share Application A/c		45,000	
2. Share Application A/c	Dr	45,000	
To Share Capital A/c		30,000	
To Share Allotment A/c		15,000	(excess)
3. Share Allotment A/c	Dr	50,000	
To Share Capital A/c		30,000	
To Securities Premium A/c		20,000	
4. Bank A/c	Dr	35,000	(50,000 - 15,000)
To Share Allotment A/c		35,000	
5. Share Final Call A/c	Dr	40,000	
To Share Capital A/c		40,000	
6. Bank A/c	Dr	40,000	
To Share Final Call A/c		40,000	

Issue for services and for consideration other than cash

Services of promoters:			
Preliminary Expenses A/c	Dr	(due)	
To Promoters A/c			
Promoters A/c	Dr	(shares issued)	
To Share Capital A/c			
Services of underwriters:			
Underwriting Commission A/c	Dr	(due)	
To Underwriters A/c			
Underwriters A/c	Dr	(shares issued)	
To Share Capital A/c			
Purchase of an asset only:			
Sundry Asset A/c	Dr		
To Vendor A/c			
Purchase of a running business:			
Sundry Assets A/c	Dr		
Goodwill A/c	Dr	(balancing figure)	
To Sundry Liabilities A/c			
To Vendor A/c		(purchase consideration)	
To Capital Reserve A/c		(balancing figure)	
Shares issued to the vendor:			
Vendor A/c	Dr		
To Share Capital A/c			
To Securities Premium A/c		(if issued at a premium)	

$$\text{No. of shares} = \frac{\text{Purchase consideration}}{\text{Issue price}}$$

DON'T MAKE THESE MISTAKES

- Share Capital is credited at **face value**; premium goes to Securities Premium.
- Advance on oversubscription is only up to allotment; no advance on later calls unless the question says.
- After adjusting the excess, unpaid amounts are taken in this order: **premium first, then call**.
- Fractional shares (e.g. 2.34) are paid in cash for the fraction (0.34).

3. Forfeiture and re-issue of shares

- **Forfeiture** = company cancels shares of a member who fails to pay a call after notice. The money already paid is lost.
- **Re-issue** = company sells those shares again; it may give a **discount**, but the discount can **never exceed the amount forfeited** on those shares. Example: FV 10, paid 6, unpaid 4: re-issue price cannot be below Rs. 4 (company must get the full Rs. 10 in total).
- **Premium rule**: if premium was **received**, ignore it in the forfeiture entry. If it was **not received**, debit Securities Premium. In oversubscription, premium paid with the application is counted on the **shares applied for** (see the extreme case below).

Share Capital A/c	Dr	(called-up, excluding premium)
Securities Premium A/c	Dr	(premium NOT received)
To Share Forfeiture A/c		(received, excluding premium)
To Calls in Arrear / Allotment / Call A/c		(unpaid, incl. premium)

Bank A/c	Dr	(cash received)
Share Forfeiture A/c	Dr	(discount)
To Share Capital A/c		
To Securities Premium A/c		(only if re-issued at a premium)
Gain (when only part of the forfeited shares is re-issued):		
Share Forfeiture A/c	Dr	
To Capital Reserve A/c		

If the re-issued shares belong to two or more shareholders, calculate the part inside the brackets for each shareholder separately, add them, then subtract the discount.

1. Share Capital A/c	Dr	1,000	(100 x 10)
To Share Forfeiture A/c		600	(100 x 6, premium ignored)
To Share Final Call A/c		400	
2. Bank A/c	Dr	420	(60 x 7)
Share Forfeiture A/c	Dr	180	(60 x 3 discount)
To Share Capital A/c		600	
3. Share Forfeiture A/c	Dr	180	(see working below)
To Capital Reserve A/c		180	

Balance left in Share Forfeiture A/c: $600 - 180 - 180 = 240$, which belongs to the 40 shares not yet re-issued.

Q3A. 1,00,000 shares of Rs. 10 issued at Rs. 12 (premium Rs. 2). Payable: application Rs. 4 (incl. premium Rs. 1); allotment Rs. 5 (incl. premium Rs. 1); first and final call Rs. 3. Applications were received for 1,20,000 shares. Mr X applied for 1,200 shares and was allotted 1,000 shares (pro-rata). He paid the application money only and failed to pay the allotment money. His shares were forfeited before the call was made. Pass the forfeiture entry.

Share Capital A/c	Dr	7,000	(called-up, excl. premium)
Securities Premium A/c	Dr	800	(premium NOT received)
To Share Forfeiture A/c		3,600	(received, excl. premium)
To Share Allotment A/c		4,200	(unpaid, incl. premium)
Check: Dr 7,800 = Cr 7,800			

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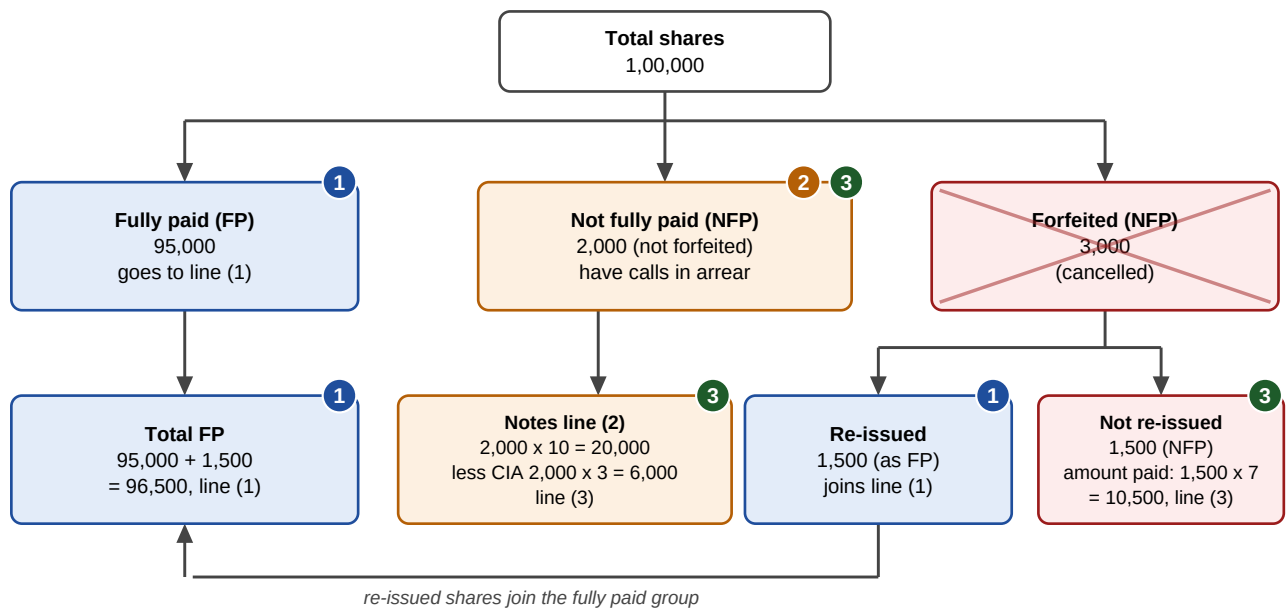
Presentation in Balance Sheet (example)

1,00,000 shares of Rs. 10 (Rs. 7 paid, Rs. 3 unpaid on each forfeited share). 3,000 shares were forfeited for non-payment of a Rs. 3 call; 1,500 of them were re-issued as fully paid. Another 2,000 shares have Rs. 3 calls in arrear (not forfeited).

Step 1: how many shares to show

Step 1	Shares
Total shares issued	1,00,000
Less: Total forfeited shares	(3,000)
Add: Total re-issued shares	1,500
Total shares to show in Balance Sheet	98,500 (= 96,500 FP + 2,000 NFP, from Step 2)

Step 2: classify the shares (FP = fully paid, NFP = not fully paid, CIA = calls in arrear). The numbers in circles match the lines of the Notes to accounts below.



Shares shown = 96,500 + 2,000 = 98,500 (= 1,00,000 - 3,000 + 1,500). The 1,500 not re-issued are cancelled; only their paid-up amount is added.

Notes to accounts	Rs.
(1) Subscribed and fully paid: 96,500 shares x 10 (95,000 + 1,500 re-issued)	9,65,000
(2) Subscribed and not fully paid: 2,000 shares x 10	20,000
(3) Less: Calls in arrear (2,000 x 3)	(6,000)
(3) Add: Forfeited shares not re-issued (1,500 x 7 paid)	10,500
Total share capital	9,89,500

Two rules to remember

- Calls in arrear are **deducted** only for the shares that were **not forfeited** (here the 2,000 shares).
- Forfeited shares are **added** (at the amount paid up) only if they were **not re-issued** (here 1,500 x 7).

DON'T MAKE THESE MISTAKES

- Forfeit at **called-up** value, not paid-up value.
- Maximum discount on re-issue = amount forfeited on those shares.
- Capital Reserve gets only the proportionate gain of the shares actually re-issued.
- Total shares to show = issued - forfeited + re-issued.

4. Redemption of preference shares

- **Sec 55:** only **fully paid** shares are redeemed; maximum term 20 years; redemption is funded by (a) **proceeds of a fresh issue**, (b) **capitalisation of free reserves** (by creating **CRR**), or (c) a combination.
- **Free reserves** = General Reserve and P&L. **Not** free reserves: Securities Premium, Capital Reserve, existing CRR. If there is no General Reserve, debit P&L A/c directly.
- **CRR** = [1] - [2], where [1] = Redeemable Preference Share Capital A/c in entry 3 (face value redeemed) and [2] = **Share Capital A/c in entry 2** (face value of the fresh issue). If there is no fresh issue, CRR = [1]. If [2] is equal to or more than [1], no CRR is created and the premium is written off to P&L A/c.
- **Note:** companies following Sec 133 and the accounting standards cannot use Securities Premium for premium on redemption; provide it out of P&L.
- **No bonus shares** can be issued out of the equity shares issued for redemption.

1. Sale of investments (if the question says):			
Bank A/c	Dr		
P&L A/c	Dr	(if sold at a loss)	
To Investment A/c			
To P&L A/c		(if sold at a gain)	
2. Bank A/c	Dr	(fresh issue)	
To Share Capital A/c		[2] = face value	
To Securities Premium A/c			
3. ___% Redeemable Pref Share Capital A/c	Dr	[1] = face value	
Premium on Redemption A/c	Dr	(if any)	
To Preference Shareholders A/c		(due)	
4. Preference Shareholders A/c	Dr		
To Bank A/c		(paid)	
5. P&L A/c	Dr		
To Premium on Redemption A/c		(premium written off)	
6. Free Reserves (GR / P&L) A/c	Dr		
To Capital Redemption Reserve A/c		([1] - [2])	

Minimum fresh issue (when the number is not given)

Method I (reserves based)	Method II (cash based)
Keywords to spot this method: Sec 55; utilising undistributed reserves / surplus / dividend	Keywords to spot this method: to provide funds; to raise funds
1. Free reserves (GR + P&L) - Premium on redemption = Available free reserves 2. Face value of preference shares - Available free reserves = Minimum proceeds	1. Face value + Premium on redemption - Sale of investment - Bank balance available = Funds required

$$\text{Method I: No. of shares} = \frac{\text{Minimum proceeds}}{\text{Issue price per share}} \quad \text{Method II: No. of shares} = \frac{\text{Funds required}}{\text{Issue price per share}}$$

Check after Method I: CRR + premium written off must not exceed the available free reserves. If new shares carry a premium, confirm with your teacher whether to divide by face value or issue price.

Partly called-up / partly paid preference shares

- **Partly called-up:** make the final call first. The company may forfeit shares on which it is unpaid.
- **Fully called, partly paid:** collect the calls in arrear first.
- **Forfeiture: no re-issue.** The number of shares to be redeemed reduces by the forfeited shares.

Partly called-up shares (make the final call first):

Final Call A/c	Dr	
To Preference Share Capital A/c		
Bank A/c	Dr	
To Final Call A/c		
Fully called but partly paid shares:		
Bank A/c	Dr	(amount received)
Calls in Arrear A/c	Dr	(amount unpaid)
To Final / Relevant Call A/c		(call due)
Bank A/c	Dr	
To Calls in Arrear A/c		(when arrears are received)
Forfeiture of shares that remain unpaid (no re-issue):		
Preference Share Capital A/c	Dr	(called-up)
To Calls in Arrear A/c		(unpaid)
To Share Forfeiture A/c		(amount collected)
Share Forfeiture A/c	Dr	
To Capital Reserve A/c		

Q4. 1,000 8% redeemable preference shares of Rs. 100 (fully paid) are redeemed at 10% premium. The company issues 400 equity shares of Rs. 100 at par for this. General Reserve Rs. 1,00,000; P&L Rs. 30,000. Pass entries.

1. Bank A/c	Dr	40,000	
To Equity Share Capital A/c		40,000	
2. 8% Redeemable Pref Share Capital	Dr	1,00,000	
Premium on Redemption A/c	Dr	10,000	
To Preference Shareholders A/c		1,10,000	
3. Preference Shareholders A/c	Dr	1,10,000	
To Bank A/c		1,10,000	
4. P&L A/c	Dr	10,000	
To Premium on Redemption A/c		10,000	
5. General Reserve A/c	Dr	60,000	(1,00,000 - 40,000)
To Capital Redemption Reserve A/c		60,000	

DON'T MAKE THESE MISTAKES

- CRR uses the **face value** of the fresh issue, not the premium received.
- Never use Securities Premium, Capital Reserve or existing CRR to create CRR.
- Redeem only **fully paid** shares; make partly paid ones fully paid first.
- If the number of new shares is given, skip the minimum-issue methods.

5. Issue of debentures

Basis	Types
Security	Secured (fixed charge / floating charge); Unsecured (naked)
Redemption	Redeemable; Irredeemable
Convertibility	Convertible; Non-convertible
Negotiability	Registered; Bearer
Priority	First mortgage; Second mortgage

1. Bank A/c Dr (application received)
 To Debenture Application A/c
 Debenture Application A/c Dr
 To ___% Debentures A/c
 To Debenture Allotment A/c (oversubscription)
 To Bank A/c (excess refunded)

2. Debenture Allotment A/c Dr (due)
 To ___% Debentures A/c
 Bank A/c Dr (received)
 To Debenture Allotment A/c

3. Debenture I / II / Final Call A/c Dr (due)
 To ___% Debentures A/c
 Bank A/c Dr (received)
 To Debenture I / II / Final Call A/c

At discount:
 Debenture Allotment A/c Dr
 Discount on Issue of Debentures A/c Dr
 To ___% Debentures A/c

At premium:
 Debenture Allotment A/c Dr
 To ___% Debentures A/c
 To Securities Premium A/c

Q5. 1,000 10% debentures of Rs. 100 issued at 5% discount, redeemable at 10% premium. Pass the entry.

Bank A/c (1,00,000 - 5,000)	Dr	95,000	
Loss on Issue of Debentures A/c	Dr	15,000	(5,000 + 10,000)
To 10% Debentures A/c			1,00,000
To Premium on Redemption of Debentures A/c			10,000

Other points

- **Collateral security:** debentures issued as an additional security for a loan (see below). **No interest** on such debentures until default.
- **Vendor / non-cash:** same as shares (formula below).
- **Interest, discount and premium are always calculated on face value;** interest on a time-period basis; TDS on the interest amount.
- **Writing off** discount / loss on issue: entry shown below.

Debentures as collateral security

Example: a bank loan of Rs. 1,00,000 is taken and secured by collateral debentures of Rs. 1,20,000.

Method I (no entry for the debentures, only a note):

Bank A/c	Dr	1,00,000	
To Bank Loan A/c			1,00,000

Method II (debentures shown, then cancelled by Debenture Suspense):

Bank A/c	Dr	1,00,000	
To Bank Loan A/c			1,00,000
Debenture Suspense A/c	Dr	1,20,000	
To 10% Debentures A/c			1,20,000

Mini Balance Sheet (Method II)	Rs.		Rs.
Bank Loan	1,00,000	Bank	1,00,000
10% Debentures (collateral)	1,20,000		
Less: Debenture Suspense	(1,20,000)		
Total	1,00,000	Total	1,00,000

Debentures and Debenture Suspense cancel each other, so only the bank loan appears as a liability.

If the loan is not repaid (default):

Bank Loan A/c	Dr	1,00,000	
Outstanding Interest A/c	Dr	xx	
To 10% Debentures A/c			xx (on default)

No. of debentures = $\frac{\text{Purchase consideration}}{\text{Issue price}}$ (Issue price = 10 - 2 if at discount; 10 + 2 if at premium)

Interest on debentures (with TDS)

1. Interest due:		
Interest on Debentures A/c	Dr	
To Debentureholders A/c		
2. Interest paid, TDS deducted:		
Debentureholders A/c	Dr	
To TDS Payable A/c		(TDS deducted)
To Bank A/c		(net amount paid)
3. TDS deposited with the Government:		
TDS Payable A/c	Dr	
To Bank A/c		
4. Interest transferred to P&L:		
Statement of P&L A/c	Dr	
To Interest on Debentures A/c		

Writing off discount / loss on issue of debentures

Securities Premium A/c	Dr	(1st preference)
Statement of P&L A/c	Dr	(2nd, for the balance)
To Discount / Loss on Issue of Debentures A/c		

DON'T MAKE THESE MISTAKES

- Debentures A/c is credited at **face value** always.
- Loss on issue = discount + redemption premium.
- Debentures can be issued at a discount; shares cannot.
- Interest is an **expense** (charged to P&L), not a part of capital.

6. Redemption of debentures

- **Methods:** lump sum at maturity; instalments / draw by lot; purchase in open market (buy Own Debentures at cost, cancel at face value, profit to Capital Reserve); conversion into shares.
- **Six cases** (lump sum): each case has an **issue entry** and a **redemption entry**, shown per Rs. 100 of face value (multiply by the number of debentures). Debenture Application / Allotment A/c may be split into separate application and allotment accounts. **Debentures A/c is always credited at 100.**

Case 1: Issued at par (100), redeemed at par (100)

Issue:		
Bank A/c	Dr	100
To Debenture Application / Allotment A/c		100
Redemption:		
Debenture Application / Allotment A/c	Dr	100
To ___% Debentures A/c		100

Case 2: Issued at discount (90), redeemed at par (100)

Issue:		
Bank A/c	Dr	90
To Debenture Application / Allotment A/c		90
Redemption:		
Debenture Application / Allotment A/c	Dr	90
Discount on Issue of Debentures A/c	Dr	10
To ___% Debentures A/c		100

Case 3: Issued at premium (110), redeemed at par (100)

Issue:		
Bank A/c	Dr	110
To Debenture Application / Allotment A/c		110
Redemption:		
Debenture Application / Allotment A/c	Dr	110
To ___% Debentures A/c		100
To Securities Premium A/c		10

Case 4: Issued at par (100), redeemed at premium (110)

Issue:			
Bank A/c	Dr	100	
To Debenture Application / Allotment A/c			100
Redemption:			
Debenture Application / Allotment A/c	Dr	100	
Loss on Issue of Debentures A/c	Dr	10	
To ___% Debentures A/c			100
To Premium on Redemption of Debentures A/c			10

Case 5: Issued at discount (95), redeemed at premium (110)

Issue:			
Bank A/c	Dr	95	
To Debenture Application / Allotment A/c			95
Redemption:			
Debenture Application / Allotment A/c	Dr	95	
Discount on Issue of Debentures A/c	Dr	5	
Loss on Issue of Debentures A/c	Dr	10	
To ___% Debentures A/c			100
To Premium on Redemption of Debentures A/c			10
(Dr 110 = Cr 110. The two losses can be combined: Loss on Issue 15)			

Case 6: Issued at premium (110), redeemed at premium (105)

Issue:			
Bank A/c	Dr	110	
To Debenture Application / Allotment A/c			110
Redemption:			
Debenture Application / Allotment A/c	Dr	110	
Loss on Issue of Debentures A/c	Dr	5	
To ___% Debentures A/c			100
To Securities Premium A/c			10
To Premium on Redemption of Debentures A/c			5
(Dr 115 = Cr 115)			

Purchase of own debentures in the open market (for cancellation)

Own Debentures A/c	Dr	(cost)
To Bank A/c		
Debentures A/c	Dr	(face value)
To Own Debentures A/c		(cost)
To Profit on Cancellation of Debentures A/c		(capital reserve)

DRR and DRRI

	Company not required	Company required
Who	All India Financial Institutions; listed companies (NBFCs and all); unlisted NBFCs; unlisted housing finance companies; convertible debentures	All other unlisted companies; non-convertible debentures

• **DRR** (Debenture Redemption Reserve) = **10%** of face value of outstanding debentures. **DRRI** (DRR Investment) = **15%** of face value of outstanding debentures. If enough DRR already exists, do not create more.

1. Creating DRR:			
Statement of P&L A/c	Dr		
To Debenture Redemption Reserve A/c			
2. Buying DRR:			
DRRI A/c	Dr		
To Bank A/c			
3. Interest received on DRR:			
Bank A/c	Dr		
To Interest on DRR A/c			
Interest on DRR A/c	Dr	(transfer)	
To Statement of P&L A/c			
4. DRR sold:			
Bank A/c	Dr		
Statement of P&L A/c	Dr	(if sold at a loss)	
To DRR A/c			
To Statement of P&L A/c		(if sold at a profit)	
5. Amount due on redemption:			
___% Debentures A/c	Dr		
Premium on Redemption of Debentures A/c	Dr		
To Debentureholders A/c			
6. Amount paid:			
Debentureholders A/c	Dr		
To Bank A/c			
7. Premium written off:			
Statement of P&L A/c	Dr		
To Premium on Redemption of Debentures A/c			
8. DRR transferred:			
Debenture Redemption Reserve A/c	Dr		
To General Reserve A/c			

Conversion of debentures into shares:

___% Debentures A/c	Dr	(face value)
Premium on Redemption of Debentures A/c	Dr	(if any, rare)
To Share Capital A/c		
To Securities Premium A/c		

$$\text{No. of equity shares} = \frac{\text{Amount payable on debentures (incl. premium)}}{\text{Issue price of one equity share}}$$

Q6. An unlisted company redeems Rs. 5,00,000 10% non-convertible debentures at maturity at 5% premium. Pass entries including DRR and DRR (DRR sold at cost).

1. P&L A/c	Dr	50,000	(10% of 5,00,000)
To Debenture Redemption Reserve		50,000	
2. DRR A/c	Dr	75,000	(15% of 5,00,000)
To Bank A/c		75,000	
3. Bank A/c	Dr	75,000	(DRR sold at cost)
To DRR A/c		75,000	
4. 10% Debentures A/c	Dr	5,00,000	
Premium on Redemption A/c	Dr	25,000	
To Debentureholders A/c		5,25,000	
5. Debentureholders A/c	Dr	5,25,000	
To Bank A/c		5,25,000	
6. P&L A/c	Dr	25,000	
To Premium on Redemption A/c		25,000	
7. DRR A/c	Dr	50,000	
To General Reserve A/c		50,000	

DON'T MAKE THESE MISTAKES

- Premium on redemption is debited **when redeeming** (and written off to P&L), unless it was already provided at issue.
- Debentures are redeemed at face value plus premium; interest is paid separately.
- Check whether DRR is needed at all: listed companies and convertible debentures are exempt.
- Profit on cancellation of own debentures is a **capital** profit.

Quick revision checklist

- Share Capital / Debentures A/c: always **face value**. Premium: Securities Premium. Discount on shares: not allowed.
- Forfeiture: called-up value; re-issue discount limited to the forfeited amount; gain goes to Capital Reserve.
- Redemption of pref shares: only fully paid; CRR = face value redeemed - face value of fresh issue.
- Debentures: discount and loss on issue are written off; DRR 10% and DRRI 15% for unlisted companies with non-convertible debentures.
- Always verify: total Dr = total Cr.